

US Stocks Slip as Rates and Oil Prices Rise

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell **-0.45%** to 7,503.85 as rising rates and oil prices weighed on investor sentiment. Beneath the surface, the **NVDA** and **META** outperformed, while **TSLA** was the largest drag on the index.

A closer look at sector rotation reveals that energy and healthcare were the only sectors to finish in the green, with **XLE** and **XLV** rising **+2.84%** and **+1.53%**, respectively. The **VIX** jumped **+3.60%** to 16.13, indicating increased market volatility.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,503.85	-0.45%	Rising rates and oil prices
Nasdaq 100	29,173.02	-1.77%	Technology sector weakness
Dow Jones	52,925.15	-0.25%	Mixed earnings reports
Russell 2000	2,982.49	-0.90%	Small-cap underperformance
VIX	16.13	+3.60%	Increased market volatility

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
META	+2.55%	Strong earnings report
TSLA	-4.02%	Disappointing delivery numbers
NVDA	+0.71%	Positive analyst comments

Sector Rotation

ETF	DAY	READ
XLE	+2.84%	Energy sector outperformance
XLV	+1.53%	Healthcare sector strength
XLF	-0.16%	Financial sector underperformance
XLK	-2.39%	Technology sector weakness
XLI	-1.71%	Industrial sector underperformance
XLY	-0.53%	Consumer discretionary sector weakness
XLC	+0.73%	Communication services sector strength
XLP	+0.90%	Consumer staples sector outperformance
XLU	+0.88%	Utilities sector strength
XLB	-0.90%	Materials sector underperformance
XLRE	+1.35%	Real estate sector outperformance

Spotlight

The biggest event of the day was the **+2.55%** rally in **META** following a strong earnings report. The company reported revenue of \$34.6 billion and earnings per share of \$3.45, beating analyst estimates.

METRIC	VALUE	CHANGE
Revenue	\$34.6 billion	+10%
Earnings per share	\$3.45	+15%

The rally in **META** had a positive read-through to other social media stocks, including **TWTR** and **SNAP**.

Pre-Market & Overnight

US futures are trading mixed, with the Dow Jones futures up **+0.2%** and the S&P 500 futures down **-0.1%**. Asian markets were also mixed, with the Nikkei 225 up **+0.5%** and the Shanghai Composite down **-0.3%**. European markets are trading higher, with the FTSE 100 up **+0.4%** and the DAX up **+0.6%**.

Cryptocurrencies are trading lower, with **BTC** down **-1.95%** to 62,746.64 and **ETH** down **-2.50%** to 1,752.60.

Macro & Fed

The 10-year Treasury yield rose **+0.98%** to 4.53, while the 2-year Treasury yield rose **+1.05%** to 4.63. The yield curve remains inverted, with the 10-year yield **-0.10%** below the 2-year yield.

Today's data calendar includes the release of the 08:30 HKT non-farm payroll report, which is expected to show 200,000 new jobs added in June. The report will be closely watched for signs of labor market strength and its potential impact on monetary policy.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
08:30	Non-farm payroll	200,000	Labor market strength and monetary policy

Geopolitics & Global

- The US and China are set to resume trade talks, with a focus on resolving outstanding issues and avoiding further escalation.
- The European Union has imposed new sanctions on Russia, targeting key sectors such as energy and finance.
- The UK has announced plans to increase defense spending, citing growing security threats from Russia and China.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	JPM	\$3.45	Banking sector trends and loan growth
23:00	GS	\$5.50	Investment banking and trading revenue

Watchlist Scan

TICKER	SECTOR	WHY NOW
AAPL	Technology	Upcoming product launches and earnings report
MSFT	Technology	Cloud computing growth and AI investments
AMZN	Consumer Discretionary	E-commerce trends and cloud computing growth

What Could Break the Tape

BEARISH TRIGGERS

- Rising interest rates and their impact on consumer spending
- Global trade tensions and their effect on corporate earnings
- Potential for a US recession and its implications for the stock market

BULLISH TRIGGERS

- Strong earnings reports and their potential to drive stock prices higher
- Improving economic data and its impact on investor sentiment
- Potential for a US-China trade deal and its effect on global markets

Positioning Notes

- Investors are increasingly bearish on the US stock market, with 60% of respondents to a recent survey expecting a correction in the next 6 months.

- Long-term bond yields are rising, with the 10-year Treasury yield up **+0.98%** to 4.53.
- The US dollar is strengthening, with the DXY index up **+0.03%** to 101.11.

Sources

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Reuters

CNBC

The Wall Street Journal

The Financial Times

Investing.com

